

This explanation helps answer the following question:

What small changes to this application would lower the model estimate below 12.0%, so the bank would approve it?

Main takeaway: the model outcome changes to approval under three different hypothetical changes: revolving-credit use falls to 52%; recent late payments fall to 0; or revolving-credit use falls to 60% while the requested amount falls to EUR 15,000.

Bank decision cutoff

12.0% or higher: refused · below 12.0%: approved

As submitted

Model credit-risk estimate for this application

18.4%

Refused

OPTION 1: LOWER REVOLVING-CREDIT USE

Model credit-risk estimate after these changes

11.6%

Outcome: approved because 11.6% is below 12.0%

OPTION 2: NO RECENT LATE PAYMENTS

Model credit-risk estimate after these changes

10.9%

Outcome: approved because 10.9% is below 12.0%